

the face of weak domestic consumption, India Inc has had little to look forward to this year. As the GDP growth started moderating in the first half of 2008-09, industrial activity too started decelerating, particularly for the manufacturing sector. The story hasn't been any different for the services sector. On the ground, consumers stalled decisions to buy houses, travel and shopping.

In addition to this, sky-high interest rates have taken the Mickey out of corporates who have found the going really tough over the last quarter as bank funds started drying up. Clearly, Santa Claus could not have come earlier this year. So, be it cutting the key rates or facilitating refinancing for small and medium enterprises (SMEs) and housing companies, the RBI package has something for almost every ailing section of the economy. However, neither has the stimulus package nor have routine monetary policy interventions helped the cause of corporate India. In a report

on the impact of RBI's stimulus package, Vijay Sarathi, certified financial analyst at BNP Paribas Securities says: "We do not see a dramatic improvement in credit growth due to the recently announced stimulus package by RBI."

Even though Subbarao is in a hurry to unwind all that his predecessor had done, the trouble is that the economy is no longer responding well to RBI as its policy interventions are reactionary. While Reddy's challenge was to curb excess liquidity, coming in via portfolio inflows, Subbarao is busy unwinding it to improve liquidity and soften interest rates. Both governors, say critics, have changed key rates too fast to achieve their target. These policy jerks have left many banks unclear about the broad direction of the Central bank.

As a result, the lending rates are not necessarily coming down even though surplus funds have been released into the system. Explains Siddhartha Roy, chief economist at Tata Sons: "A lot of

the measures taken are reactionary and not proactive. The problem is much bigger, so it's not just enough to make credit available. During Reddy's tenure there was an obsession with inflation, so liquidity was sucked out of the system and that hurt demand. The consistent increase in rates should have been balanced." For instance, last year corporates borrowed Rs 117,642 crore from domestic institutions and Rs 146,123 crore via the external commercial borrowing (ECB) route. With the ECB route closed, the demand for credit has boomed in India.

While CRR and repo rate cuts have consistently released funds into the system, banks are parking Rs 38,000 crore with RBI every day rather than lending to productive corporates as anticipated. The risk aversion is so high that banks are not willing to lend, as many cash-strapped corporates are likely to go bankrupt due to sluggish demand. Says Sachidanand Shukla, chief econo-

October 29

MEASURES: CRR cut 100 bps to 5.5 per cent, repo rate by 50 bps to 7.5 per cent

INTENDED IMPACT: Liquidity infusion of Rs 40,000 crore

REAL IMPACT Reverse repo rate (at which banks lend to RBI) still high so banks not lending to firms

November 1

MEASURES: Statutory liquidity ratio slashed by 1 per cent to 24 per cent

INTENDED IMPACT: Reduce the money that banks have to keep.

REAL IMPACT Banks are overcome by fear, which is preventing the flow of credit

November 3

MEASURES: Interest rate ceiling on FCNR(B), NRE deposits up by 75 bps

INTENDED IMPACT: Boost deposits, discourage withdrawals to raise liquidity

REAL IMPACT RBI selling dollars to stabilise the rupee sucks out money from the system

November 15

MEASURES: Cut in provisioning norms for realty, risks weightage for commercial realty and NBFC exposure of banks

INTENDED IMPACT: Free up bank capital for further lending

REAL IMPACT With top players set to go belly up, banks are not keen on lending to this high-risk sector

December 6

MEASURES: Repo rate cut under the LAF by 100 bps to 6.5 per cent, reverse repo by 100 bps to 5.0 per cent

INTENDED IMPACT: Encourage banks to lend to productive sectors

REAL IMPACT Instead of lending to corporates, banks park over Rs 38,000 crore daily with RBI

December 6

MEASURES: Loans to housing finance companies up to Rs 20 lakh to be treated as priority sector lending

INTENDED IMPACT: To boost the ailing real estate sector

REAL IMPACT No significant effect as buyers in urban markets like NCR and Mumbai will not benefit